

Module 14

Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The ascertainment of profit source is a hard practical matter of fact, the broad guiding principle is "one looks to see what the taxpayer has done to earn the profits in question, and where he has done it". In other words, we need to ascertain what were the operations that produced the profit and where those operations took place.

The profit in question is trading profit from buying and reselling of goods, according to the decision in Hang Seng Bank case, it is derived from the place where the contracts of purchase and sale are effected.

The Inland Revenue Department ("IRD")'s view in this regard has referred to the approach in Magna case and will contemplate all relevant operations carried out to earn the profit, including the solicitation of orders, negotiation, conclusion, trade financing, shipment and performance of the contracts.

Whilst the case did not provide comprehensive guiding information to the above, the table below summarizes the relevant facts given in the case:

No.	Operation – sale contract	Location
1	Product viewing and examination	Hong Kong
2	Provision of trade terms to interested buyer for consideration	Hong Kong
3	Negotiation of trade terms	Hong Kong
4	Reach consensus on trade terms with buyer	Hong Kong
5	Preparation and signing of sales order	Hong Kong
6	Delivery of sales order to buyer by hand	Hong Kong
7	Acceptance of sales order by email	Mainland China/ Hong Kong
8	Shipment of goods	Mainland China/ Hong Kong
9	Receipt of payment	Singapore/ Hong Kong

The IRD has indicated in their practice note number 21 that where the effecting of contracts does not require travel outside Hong Kong but is carried out in Hong Kong by telephone, fax, etc, the contracts will be considered as having been effected in Hong Kong. By applying this IRD's view the locale for operation #7 will be regarded as Hong Kong.

Further, the sales terms arguably were substantially concluded during the business dinner that took place in Hong Kong. The acceptance by the Head of Procurement in mainland China seems like a formality only as in the past there was no incident where the Head of Procurement had exercised his discretion (if any) to amend or reject the already prepared and signed sales order.

Since Able Limited does not have any business presence outside Hong Kong, work procedures pertaining to the shipment of goods and receipt of payment are likely all handled in Hong Kong by the clerk supervised by the directors. This will discount the offshore nature of physical flow of the goods and money that take place outside Hong Kong.

To conclude, the sales contract is effectuated in Hong Kong, by the overwhelmingly heavy participation of Peter and the clerk (both are based in Hong Kong) in many key processes of the sale cycle.

Though little information and facts about the purchase cycle are revealed by the tax due diligence exercise, there appears no significant purchase activities performed by Able Limited outside Hong Kong. Attendance of trade shows by Peter in mainland China may be antecedent or incidental to the purchase transaction and hence would not attract heavy weighting.

According to the above IRD's practice note, for trading profits where either the contract of purchase or contract of sale is effected in Hong Kong, the initial presumption will be that the profits are fully taxable. Matters like procurement and storage of goods, sales solicitation, order processing, shipment/ financing/ payment of goods, will be further examined.

In addition, the IRD does not accept apportionment of trading profits, even though there might be some overseas activities.

Following this, to take a totality of fact approach based on known facts and information revealed in the tax due diligence exercise, there are strong evidence suggesting that Able Limited's trading profits from sale of goods to the hospital in Beijing is Hong Kong source.

Answer 1(b)

- Marketing materials showing the address of the showroom, product available for sale and contact person information with Hong Kong telephone number.
- Photo of the office showing the working area of Peter, Mary and the clerk where the trading operation is conducted.
- Photo of the showroom showing the business setting of the showroom, products and marketing information displayed, meeting facilities, etc.
- Meeting notes or log book showing the name of visitor, meeting date and time, key items discussed, consensus reached during business dinner, follow-up action required, name of preparer, etc.
- Restaurant bill for business dinner with the hospital procurement team, bearing the name and address of the restaurant, the date should be reasonable comparing to the showroom visit.
- Sample sales order prepared by the clerk and signed by Peter, the date should be reasonable comparing to the showroom visit, business dinner and itinerary of the hospital procurement team (if known).
- Email showing the sales order signed by the Head of Procurement was received by Peter in Hong Kong.
- Shipping documents, delivery note and invoice prepared by the clerk in Hong Kong.
- Singapore bank account statement with correspondence address in Hong Kong, bank account opening document showing the directors and clerk in Hong Kong have access right.

Answer 1(c)

Based on the planned activities promised by Peter during the 2-year period:

- Peter as the director and the sales trainee as employee of Able Limited who have authority to enter into binding sales contract with customer, they are dependent agent of Able Limited for tax treaty purposes because they are both legally and economically dependent on Able Limited.
- Peter and the sales trainee will travel to mainland China and conduct sales transactions for 2-year. The planned activities include sales negotiation, conclusion and execution. This indicates Peter and the sales trainee will habitually exercise authority to conclude sales contract on behalf of Able Limited in mainland China.

To sum up, Able Limited will have an agency PE in the mainland China if Peter and the sales trainee conduct the planned activities during the 2-year period.

Answer 2(a)

Under s.16(1) of the Inland Revenue Ordinance ("IRO"), expenses to the extent that they are incurred in the production of profits chargeable to profits tax is deductible.

There is no further condition imposed under s.16(1) on the identity of the expense recipient including his residency and taxation of income in Hong Kong.

Payment of the royalty is to allow Able Limited to legally use the trademark owned by the Supplier. The trademark is used in the production of marketing materials by Able Limited, the distribution of which is expected to promote the generation of trading profits, which are subject to profits tax. As such, the royalty expense is deductible under s.16(1) of the IRO, subject to apportionment and disallowance on the amount attributable to the offshore sales profit claimed as non-taxable.

Mary's tax treatment on the royalty expense is therefore incorrect.

Answer 2(b)

The term "royalties" is defined in the DTA to include payment for the use of trademark.

Article 12 of the DTA provides that royalties arising in Hong Kong and paid to a Chinese resident may be taxed in Hong Kong. Accordingly, Hong Kong has the taxing right on the royalty.

On the other hand, the Supplier being an enterprise carrying on a business in mainland China, is subject to mainland China corporate income tax on its worldwide income including the non-China source royalty income.

Double taxation of income therefore arises.

Under Article 21 of the DTA, such double taxation of income is avoided by way of allowance of tax credit against mainland China corporate income tax imposed on the Supplier.

The amount of tax credit is limited to the amount of mainland China corporate income tax of that royalty income computed in accordance with the tax laws and regulation of mainland China.

Answer 3(a)

Able Limited can be exempted from preparing Master File and Local Files based on size of business or amounts of controlled transactions.

No specific information was given on Able Limited's revenue amount, asset value and number of employees, therefore a conclusion cannot be drawn on exemption based on size of business.

Nonetheless, currently Able Limited does not have any related party transactions, it will satisfy the exemption conditions based on amounts of controlled transactions and hence Master File and Local File preparation are not required.

Transaction with unrelated non-resident is not a valid consideration here.

After the acquisition, Able Limited's operation mode and scale have changed, assessment of the above exemptions should be performed again based on prevailing information.

For exemption based on size of business, the following information of Able Limited is required:

- total amount of revenue for the accounting period does not exceed HK\$400 million;
- total value of assets as at the end of the accounting period does not exceed HK\$300 million; and
- average number of employees during the accounting period does not exceed 100.

None of the above information is provided in the case, so we will need to continue the assessment of exemption based on amounts of the following controlled transactions:

- transfers of properties does not exceed HK\$220 million;
- transactions in respect of financial assets does not exceed HK\$110 million;
- transfers of intangibles does not exceed HK\$110 million; and
- other transactions does not exceed HK\$44 million.

Since there will be a new related party loan of HK\$200 million after the share sale, the exemption based on amount of controlled transactions is not available.

As Able Limited is not exempted by way of amounts of controlled transactions, Master File and Local File must be prepared within 9 months after the end of each accounting period, and retained for not less than 7 years after the end of the accounting period.

Answer 3(b)

[Letterhead of the firm]

[date]

Ms Mary [last name]
[address]

Re: Tax advisory on the consequences from incorrect tax filing position taken

Dear Mary

We refer to your receipt of the gift of HK\$300,000 from your employer Able Limited on 20 March 2022, and our meeting that took place on [date] during which the proper taxation treatments were conveyed to you.

We understand you agree with the proper taxation treatments suggested by us, and fully aware that the tax filing position adopted in your Tax Return – Individuals for the year of assessment 2021/22 was incorrect. In light of the above background, we would like to set out below the possible penal consequences thereof under the provisions of the IRO.

Prosecution

Under s.80(2) of the IRO, if you are prosecuted for the offence of making an incorrect tax return by omitting the taxable gift of HK\$300,000 without reasonable excuse, you are liable to a maximum fine of HK\$10,000 plus 3 times of the tax undercharged as a result of the offence.

Under s.82(1) of the IRO, if you are prosecuted for acting wilfully with an intention to avoid tax by omitting the HK\$300,000 gift from your tax return, and this can be proved beyond reasonable doubt, you are subject to the following maximum penalties:

On summary conviction - HK\$10,000 plus 3 times of the tax undercharged as a result of the offence and imprisonment for 6 months.

On indictment - HK\$50,000 plus 3 times of the tax undercharged as a result of the offence and imprisonment for 3 years.

The Commissioner of Inland Revenue ("CIR") has power to compound any proceedings before judgement, i.e., the CIR may make an arrangement with you so that you pay an appropriate penalty instead of being prosecuted.

Additional tax as penalty

As an alternative to the above prosecution actions, the CIR may impose additional tax as a penalty under s.82A of the IRO against your incorrect tax return filing by omission of the HK\$300,000 taxable gift.

An additional tax assessment can only be made if no prosecution under s.80(2) and s.82(1) is made against you, equally the CIR cannot take the above prosecution actions after the additional tax assessment is issued.

Additional tax imposed by way of penalty is limited to 3 times of the tax undercharged. Before making the additional tax assessment, the CIR must serve a notice to you of his proposal to assess additional tax on your incorrect tax return filing, and informing you of your right to submit a written representation. The CIR shall consider and take into account your representations before making the additional tax assessment.

If you consider the amount of additional tax imposed is excessive, you can lodge an appeal to the Board of Review against the CIR decision.

Upon receipt of your further instruction, we are happy to advise you further on the possible remedial actions that can help you to manage the above risks.

We hope the above information is of useful to you. If you have any questions, please feel free to contact us.

Yours faithfully

[name]

[position]

Answer 4(a)

Idea (a) taken against Mary may upset her, leading her to take hostile actions against the company, she may become an informer and provide full details of the irregularities identified during the tax due diligence exercise to the IRD.

Having this information on hand, the IRD may initiate a tax audit and hence accelerating the crystallization of the tax exposures into tax liabilities and penalties, leaving no time for Able Limited to get prepared.

The immediate departure of Mary likely will lead to destruction of files (paper or electronic form) that contain relevant information and documents, together with lacking proper records on the background and effects of the irregularities identified during the tax due diligence exercise due to idea (b), may cause the tax audit more difficult to manage.

As likely Peter does not have much knowledge on the day-to-day compliance matters given he was heavily focused on sales and marketing in past years, without the assistance from Mary, Able Limited will not be able to defend the challenges from the IRD during a tax audit. This will adversely affect Able Limited's ability to discharge its onus of proof.

Idea (c) is encouraged as this will effectively stop further damages caused by the irregularities, however this will not help to reduce the chance of being audited by the IRD for irregularities that had happened in the past. Nonetheless, if the irregularities are ratified before the tax audit commences, this may be a positive factor to consider in the penalty negotiation with the IRD. On the other hand, the change to the tax treatment on China sales may trigger the IRD's inquiry as to whether the earlier treatment was incorrect, eventually leading to a tax audit.

In summary, ideas (a) and (b) would not effectively mitigate the risk of receiving a tax audit from the IRD. Rather they will direct the case to an uncontrollable situation and rendering Able Limited more difficult to defend its position. Idea (c) is more neutral from these 2 perspectives and may give Able Limited a better position to negotiate for a lower penalty level upon settlement of the tax audit.

Answer 4(b)

When the shareholding in Able Limited is disposed, the buyer will likely perform a due diligence exercise to identify any hidden liabilities (including unpaid tax and penalties, real or contingent), and ask for warranty/ indemnity clause in the Sale and Purchase Agreement to cover such liabilities taken up by the buyer.

If the IRD initiates a tax audit and this is still ongoing when shareholding in Able Limited is being disposed, Peter will have to accept a more aggressive tax warranty/ indemnity clause and/ or lower the selling price, even worse the buyer will be scared off by the unpredictable outcome of tax audit.

Therefore it is in the best interest of Peter to manage the tax risks from historical non-compliance events in a controlled manner.

Ideas (d) and (e) have the following drawbacks and thus are unreliable in avoiding a tax audit during shareholding disposal:

- Under the "Assess First Audit Later" tax assessing practice of the IRD, no assurance on tax position is given to Able Limited by the 2024/25 tax assessment even if this is issued per tax return submitted, because the IRD reserves the right to subsequently review the tax position in detail.
- The above right to review does not go away even if the 2024/25 tax assessment has become final and conclusive after 1 month from the date of issue.
- The fact that all irregularities have been ratified will not prevent the IRD from inquiring Able Limited's historical transactions.

If the IRD's review and inquiring process has resulted in tax adjustments leading to tax payable, the IRD is empowered to raise additional assessment to recover the tax undercharged any time within 6 years.

Though there is a chance that the IRD may not be aware of the irregularities and fail to raise additional assessment before the relevant year of assessment has become time-barred, relying on this strategy for risk management can hardly be said to be proactive, responsible and professional.

The IRD has reminded taxpayer in its website that the degree of co-operation exhibited by a taxpayer in a field audit or investigation case will generally have a bearing on the amount of penalty imposed.

Able Limited can consider making a full voluntary disclosure of all the irregularities to the IRD before any inquiry, investigation or audit from the IRD, and provide full details and cooperation to facilitate the IRD's review, tax assessment and settlement of the tax undercharged within 3 months.

Under this approach, the IRD may favourably consider the penalty loading or whether prosecution should be instituted.

Furthermore, this approach allows Able Limited to pro-actively manage the timing of the IRD's review to happen. If the IRD's review is closed before the shareholding disposal commences, the historical tax risks from non-compliance is no longer an issue to the buyer.

* * * END OF SECTION A * * *

SECTION B – WRITTEN QUESTIONS (Total: 50 marks)

Answer 5(a)

S.8(1)(a) of the IRO provides that Salaries Tax shall be charged for each year of assessment on every person in respect of his income arising in or derived from Hong Kong from any office or employment of profit. S.8(1A)(a) further provides that income arising in or derived from Hong Kong from any employment includes all income derived from services rendered in Hong Kong including leave pay attributable to such services.

In short, income from an employment located in Hong Kong is chargeable under s.8(1)(a). For non-Hong Kong employment, only the part of income derived from services rendered in Hong Kong (including leave pay attributable to such services) is chargeable under s.8(1A)(a).

The applicability of s.8(1A)(a) on non-Hong Kong employment does not depend on foreign tax payment. The analysis below will focus on how Mr Jones should pursue the Exemption Claim under s.8(1A)(a).

In deciding the source of employment income, the IRD has followed the court decision in CIR v George Andrew Goepfert (1987) 2 HKTC 210, and adopted a “totality of facts” approach with particular emphasis on the following factors:

- (a) The place where the employment contract was negotiated and concluded.
- (b) The residence of the employer.
- (c) The place where the employee was paid.

Mr Jones has been employed by KLM since its incorporation in Country X back in the early 2000s. Apparently, his employment contract with KLM was negotiated and concluded some 20 years ago in Country X. The temporary assignment to KLM Asia did not change the master-servant relationship as the terms of assignment stipulated that Mr Jones remained an employee of KLM during the assignment period. There is also no information suggesting that the terms of assignment were negotiated and concluded in Hong Kong. Therefore, it is quite clear that Mr Jones’ employment contract was negotiated and concluded outside Hong Kong.

KLM was incorporated in Country X. Its CEO was also based in Country X. While more information should be gathered to ascertain the residence of KLM, i.e. where it was centrally managed and controlled, it is reasonable to argue that KLM was not resident in Hong Kong.

Mr Jones’ salaries during assignment was partly paid in Country X and partly in Hong Kong. This could be an indicator that Country X was the source of the employment income. The arrangement to pay part of the salaries in Hong Kong might be due to the financial policy of KLM and KLM Asia, and could facilitate Mr Jones’ living when he was in Hong Kong. After all, this factor is of less significance when comparing to the above two.

Based on the above, Mr Jones can claim that his employment with KLM is a non-Hong Kong employment, and thus only the part of income derived from services rendered in Hong Kong, including leave pay attributable to such services, is chargeable to Salaries Tax under s.8(1A)(a). In practice, the IRD would adopt the time apportionment basis in assessing Mr Jones’ tax liability.

Answer 5(b)

Married person's allowance ("MPA")

S.29(1) of the IRO provides that MPA is to be granted to a married taxpayer where, among others, his/ her spouse did not have assessable income in the year of assessment.

Although Mrs Jones had a full-time job in Country X, she did not relocate to Hong Kong with Mr Jones. Therefore, she should have no assessable income chargeable to Salaries Tax in Hong Kong. Mr Jones is entitled to claim MPA in respect of Mrs Jones.

Dependent parent allowance ("DPA")

S.30(1) of the IRO provides that DPA is to be granted to a taxpayer if the taxpayer or his/ her spouse who is not living apart from the taxpayer, maintains a parent or a parent of his/ her spouse in that year; and if that parent was, among others, ordinarily resident in Hong Kong and aged 60 or more.

"Ordinarily resident" is not defined in the IRO and should be interpreted in light of case laws. In general, a person is ordinarily resident in a place where he/ she habitually and normally resides, apart from temporary or occasional absences of long or short duration, or if he/ she lawfully, voluntarily and for a settled purpose, as part of the regular order of life, lives in that place.

Mr Jones' mother was taken care of by Mrs Jones in Country X. She could not be considered as ordinarily resident in Hong Kong during the year of assessment 2022/23. Therefore, Mr Jones is not entitled to claim DPA in respect of his mother.

Answer 6(a)

Pursuant to s.600 “Ethics in Tax Practice” in the Code of Ethics for professional Accountants (Revised Nov 2018), all tax practitioners should observe professional ethics in providing tax services to their clients. While tax advisors should have competent professional knowledge for their tax practice and put forward the best position in favour of their clients, they should not impair the standard of integrity and objectivity in any way, and should comply with the law.

In particular, a tax advisor must not associate himself with any return or communication which he has reason to believe that contains a false or misleading statement or contains statements or information furnished by the client recklessly or without any real knowledge of whether they are true or false.

Moreover, tax advisors should make sure that their clients are aware of the limitations of tax advice and services, and the advice is not beyond challenge.

Peggy, as the sole director of LPL, told Ben & Co. that she believed she got COVID-19 around the time the estimated assessment was issued. She might want to rely on this as a ground to lodge a late objection against the estimated assessment, but she seemed uncertain to this information. Ben & Co. should take steps to verify the correctness of this information, and also the exact time Peggy was affected by the sickness. If Ben & Co. is satisfied that Peggy’s sickness did prevent LPL from lodging an objection within time, Ben & Co. could help LPL lodge a late objection with detailed explanations and supporting documents. Otherwise, Ben & Co. should not associate themselves with information that was provided by Peggy recklessly.

Peggy also said that she had every faith in all of Ben & Co.’s advice. Apparently, Peggy was not aware of the limitations of tax advice. Ben & Co. should ensure that Peggy understood the limitations and that the advice can be challenged by the IRD.

Answer 6(b)

Bad debt HK\$200,000

Under s.16(1)(d) of the IRO, in ascertaining the profits in respect of which a person is chargeable to Profits Tax, bad debts incurred in any trade, business or profession, proved to the satisfaction of the assessor to have become bad during the basis period for the year of assessment could be deducted, subject to certain conditions.

LPL did not take any action against the debtor-customer. The customer had ongoing business with LPL as well. There was no reason to justify that the debt was commercially irrecoverable. As such, it is unlikely for LPL to prove to the satisfaction of the assessor that the debt had become bad in the year of assessment 2020/21. The claimed bad debt of HK\$200,000 is not deductible.

Business trip expenses HK\$232,000

S.16(1) of the IRO provides that in ascertaining the profits in respect of which a person is chargeable to Profits Tax for any year of assessment there shall be deducted all outgoings and expenses to the extent to which they are incurred during the basis period for that year of assessment by such person in the production of profits in respect of which he is chargeable to Profits Tax for any period.

Under s.17(1)(a) and (b) of the IRO, for the purpose of ascertaining profits in respect of which a person is chargeable to Profits Tax, no deduction shall be allowed in respect of domestic or private expenses, and any disbursements or expenses not being money expended for the purpose of producing such profits. Inland Revenue Rule 2A also provides that, if any outgoing or expense was incurred not wholly and exclusively in the production of profits chargeable to Profits Tax, apportionment of the outgoing or expense shall be made on such basis as is most reasonable and appropriate in the circumstances of the case. Peggy only spent 20% of time of the trip visiting suppliers, and the remaining 80% of time was her private vacation. Therefore, the business trip expenses of HK\$232,000 were not wholly and exclusively incurred in the production of LPL's profits. Apportionment of the business trip expenses is therefore required to differentiate the business portion (presumably 20%) and non-business portion (presumably 80%), with the former deductible and the latter not deductible.

Profits Tax computation of LPL
Year of assessment 2020/21

	HK\$
Loss before tax	(150,000)
<u>Add: Bad debt</u>	200,000
<u>Add: Business trip expenses – non-business portion (HK\$232,000 × 80%)</u>	185,600
Assessable Profits	<u>235,600</u>
Profits Tax @16.5%	38,874
<u>Less: Tax reduction</u>	<u>(10,000)</u>
Profits Tax payable	<u>28,874</u>

Answer 6(c)

Although LPL agreed not to challenge the estimated assessment, it should nonetheless file the Profits Tax return for the year of assessment 2020/21, declaring assessable profits of HK\$235,600 without delay.

It should also settle the tax demanded in the estimated assessment, as well as the surcharge, immediately.

It is expected that, after receiving the tax return, IRD would issue an additional Profits Tax assessment for the year of assessment 2020/21 to LPL, assessing additional profits of HK\$115,600 (HK\$235,600 - HK\$120,000) and additional amount of Profits Tax of HK\$19,074 (HK\$28,874 - HK\$9,800).

Answer 7(a)

S.8(1A)(c) of the IRO excludes from assessment income derived by a person from services rendered by him in any territory outside Hong Kong where by the laws of the territory where the services are rendered, the income is chargeable to tax of substantially the same nature as Salaries Tax under the IRO and the Commissioner is satisfied that that person has paid tax of that nature in that territory in respect of the income.

Since the year of assessment 2018/19, a new s.8(1C) has become effective, which provides that s.8(1A)(c) does not apply in relation to income derived by a person from services rendered by the person in a "DTA territory" (as defined in s.48A), and under s.50, tax payable in the territory by a Hong Kong resident person in respect of income derived from services rendered by him or her in the territory is to be allowed as a credit against tax payable in Hong Kong by the Hong Kong resident person in respect of that income.

As Lily's secondment to Country F was before the year of assessment 2018/19, s.8(1A)(c) was applicable to her to exclude the income derived from services rendered in Country F, where tax of substantially the same nature as Hong Kong Salaries Tax had been paid in Country F for that income.

However, for Ray's case which concerned the year of assessment 2019/20, the relief under s.8(1A)(c) did not apply, as the income in question was derived from services rendered in Country F which is a DTA territory, i.e., with which Hong Kong has entered into a DTA.

Answer 7(b)

Step 1: Calculation of effective tax rate in Hong Kong before tax credit
(Express in HK\$ equivalent)

	HK\$
Assessable income	1,020,000
<u>Less: Basic allowance</u>	<u>(132,000)</u>
Net Chargeable Income	<u>888,000</u>
Salaries Tax @ progressive rates	
First \$200,000	16,000
Remaining \$688,000 @ 17%	<u>116,960</u>
	132,960
<u>Less: Tax reduction</u>	<u>(20,000)</u>
Salaries Tax payable before tax credit	<u>112,960</u>

Note: Standard rate does not apply as it will result in higher tax payable, i.e.,
 $\text{HK\$}1,020,000 \times 15\% - \text{HK\$}20,000 = \text{HK\$}133,000$

Effective tax rate = $(\text{HK\$}112,960 \div \text{HK\$}1,020,000) \times 100\% = 11.07\%$

Step 2: Calculation of tax credit limit and the amount not allowed as tax credit

	HK\$
Income in Country F	210,000
<u>Less:</u> Income tax paid in Country F	<u>(27,300)</u>
Income after tax in Country F	182,700
Income after tax in Country F grossed-up at effective tax rate, i.e., HK\$182,700 × 100% ÷ (100% - 11.07%)	205,442
<u>Less:</u> Income after tax in Country F	<u>(182,700)</u>
Tax credit limit	22,742
Amount not allowed as tax credit, i.e., HK\$27,300 – HK\$22,742	<u>4,558</u>

Answer 7(c)

Salaries Tax liability of Ray
Year of assessment 2019/20

	HK\$
Assessable income	1,020,000
<u>Less:</u> Amount not allowed as tax credit	<u>(4,558)</u>
<u>Less:</u> Basic allowance	<u>(132,000)</u>
Net Chargeable Income	883,442
Salaries Tax @ progressive rates	
First HK\$200,000	16,000
Remaining HK\$683,442 @ 17%	116,185
	<u>132,185</u>
<u>Less:</u> Tax reduction	<u>(20,000)</u>
	112,185
<u>Less:</u> Tax credit allowed	<u>(22,742)</u>
Salaries Tax payable	<u>89,443</u>

Answer 8(a)

- (i) Property Tax liability of the couple
Year of assessment 2021/22

	HK\$
Rental income of Property A	300,000
Less: Rates paid by landlord for Property A	(10,000)
	<u>290,000</u>
<u>Less: 20% statutory deduction</u>	<u>(58,000)</u>
Net Assessable Value	<u>232,000</u>
Property Tax @15%	<u>34,800</u>

	HK\$
Rental income of Property B	216,000
Less: Rates paid by landlord for Property B	(5,800)
	<u>210,200</u>
<u>Less: 20% statutory deduction</u>	<u>(42,040)</u>
Net Assessable Value	<u>168,160</u>
Property Tax @15%	<u>25,224</u>

	HK\$
Rental income of Property C	1,200,000
Less: Rates paid by landlord for Property C	(41,000)
	<u>1,159,000</u>
<u>Less: 20% statutory deduction</u>	<u>(231,800)</u>
Net Assessable Value	<u>927,200</u>
Property Tax @15%	<u>139,080</u>

- (ii) Property Tax liability of the couple under their plan
Year of assessment 2021/22

	HK\$
Rental income of all properties – from T&I (10% of HK\$1,716,000)	171,600
<u>Less: 20% statutory deduction</u>	<u>(34,320)</u>
Net Assessable Value	<u>137,280</u>
Property Tax @15%	<u>20,592</u>

Profits Tax liability of T&I
Year of assessment 2021/22

	HK\$
Rental income of all properties – from third party tenants [same as answer 8(a)(i)]	1,716,000
<u>Less: Rates paid for all properties</u>	<u>(56,800)</u>
<u>Less: Management fee for all properties</u>	<u>(99,180)</u>
<u>Less: Repairs and maintenance for all properties</u>	<u>(19,250)</u>

<u>Less: Rent paid to the couple (10% of HK\$1,716,000)</u>	<u>(171,600)</u>
Assessable Profits	1,369,170
<u>Less: Loss brought forward</u>	<u>(500,000)</u>
Net Assessable Profits	<u>869,170</u>
 Profits Tax @8.25%	 71,706
<u>Less: Tax reduction</u>	<u>(10,000)</u>
Profits tax payable	<u>61,706</u>

Total tax saving = HK\$199,104 - HK\$20,592 - HK\$61,706 = HK\$116,806

Answer 8(b)

Ss.61 and 61A are the two general anti-avoidance provisions contained in the IRO. S.61 provides that where an assessor is of opinion that any transaction which reduces or would reduce the amount of tax payable by any person is artificial or fictitious or that any disposition is not in fact given effect to, he may disregard any such transaction or disposition and the person concerned shall be assessable accordingly. S.61A applies to any transaction entered into for the sole or dominant purpose of enabling a person to obtain a tax benefit. Where it applies s.61A provides for an assessment to be made as if the transaction or any part thereof had not been entered into or carried out or in such other manner as is considered necessary to counteract the tax benefit which would otherwise be obtained.

The letting arrangement between the couple and T&I may be considered by the assessor as an artificial or fictitious transaction as it does not make commercial sense for the couple to lease their valuable properties to T&I at a substantially discounted rent. As this transaction reduces the amount of tax payable, the assessor may invoke s.61 to disregard it and assess the couple accordingly.

Further, the same arrangement may be considered as a transaction having sole or dominant purpose of enabling the couple to obtain tax benefits, after consideration of the various matters in s.61A(1). In addition to the point discussed above, the transaction is made between related parties, and enables the deduction of various expenses that are not otherwise deductible under Property Tax. T&I's tax loss is utilised to further reduce the Profits Tax liability as well. Therefore, the IRD may also invoke s.61A to counteract the tax benefit which would otherwise be obtained.

* * * END OF EXAMINATION PAPER * * *